Countable, Exempt, Community Spouse, Estate Recovery

Eighteen words you'll hear about what Mom can keep, each in plain language, and what to write down about it.

Countable. Exempt. Community spouse. Estate recovery. People use these words about Mom's house and savings as if you'd always known them. These are eighteen you're likely to hear, each explained in general terms, from a public source where one applies, with what to write down when it comes up.

The explanations are for following the conversation. They aren't for working out what Mom can keep. That depends on her state and her situation, and it is for a professional to say.

The program

Medicaid

A joint federal and state public assistance program for financing health care for low-income people. Unlike Medicare, the federal long-term care site says, it does pay for custodial care in nursing homes and at home. [1] [2]

WRITE DOWN Whether Mom has applied, and if so when and who helped.

State Medicaid agency

The state's office for the program, which the federal long-term care site calls the State Medical Assistance office. The site names it as the best source for information about how to qualify in your state. [2]

WRITE DOWN The office's name and phone number, and the name of anyone you've spoken with there.

Eligibility

Whether a person meets the program's rules. The rules are based on federal requirements but vary from state to state, and once a state finds a person eligible it makes an additional determination of whether the person qualifies for long-term care services. [2]

WRITE DOWN Anything you've been told about Mom's eligibility, and who told you.

What Mom owns

Countable asset

An asset whose value is counted in determining financial eligibility for Medicaid. Which assets are counted depends on the state and the situation, so this sheet gives no list. [1]

WRITE DOWN What Mom owns, unsorted. Sorting is for someone who knows her state.

Primary residence

A person's main home. How a home is looked at depends on who owns it, who lives in it, the family's circumstances and the state.

WRITE DOWN Whose names are on the deed, and who lives in the house now.

Exempt (non-countable) asset

The other side of the same idea: an asset that isn't counted. Which ones those are depends on the state and the situation too.

WRITE DOWN Who told you a particular thing is exempt, and whether they know Mom's situation.

Jointly owned

Owned by more than one person. In a joint bank account, the Consumer Financial Protection Bureau explains, the money is jointly owned. What that means for Mom's accounts is a question for a professional. [3]

WRITE DOWN Every name on each account and on the deed, exactly as printed.

Beneficiary designation

A term you may see on the paperwork for a retirement account or an insurance policy, beside the name of a person. This sheet doesn't explain what a designation does. For Mom's accounts and policies, that is a question for a professional.

WRITE DOWN Who is named, on which account or policy, and the date on the form.

Trust

A legal arrangement in which a trustee makes decisions about the money or property in it. The Consumer Financial Protection Bureau calls trusts complex legal arrangements. What a particular trust does is a question for an elder law attorney. [3] [4]

WRITE DOWN The trust's name and date, the trustee's name, and where the document is.

Supporting documentation

The papers behind your list: the deed, account statements, beneficiary forms, trust papers and insurance policies.

WRITE DOWN Where each one is, who holds it, and which you haven't found yet.

The spouse at home

Community spouse

The spouse of a nursing home resident who is applying for or receiving Medicaid long-term care services. If Mom applies, it is the word you'd hear for Dad. [1]

WRITE DOWN What Dad has coming in each month and what he relies on, as best you know.

Spousal impoverishment provisions (spousal protections)

Federal provisions meant to keep the spouse who is still living at home from being left with little or no income or resources. Under them, a certain amount of the couple's combined resources is protected for that spouse. How much, and how it applies to Dad, is for a professional to say. [5]

WRITE DOWN "What applies to Dad?" on your list of questions for your Medicaid planner or an elder law attorney.

Later on

Estate

In general, what a person leaves at death. When a Medicaid beneficiary dies, the National Council on Aging explains, the value of the estate is used to pay back debts before it transfers to any heirs. What counts as part of an estate is a question to ask about Mom's state: Medicaid programs, including how they handle recovery from an estate, vary significantly from state to state. [6] [7]

WRITE DOWN Nothing to work out. Your list of what Mom owns, with the names on each thing, is what a professional can work from.

Estate recovery

The process by which Medicaid recovers an amount of money from the estate of a person who received Medicaid. The amount cannot be greater than the amount Medicaid contributed to the person's medical care. [1]

WRITE DOWN Whether anyone has mentioned it to you, who, and what they said.

Hardship waiver

States are required to have procedures for waiving estate recovery when it would cause an undue hardship, and heirs can seek one. What counts as a hardship is a question to ask about Mom's state. [8] [9]

WRITE DOWN "Hardship waiver" on your list of questions for an elder law attorney.

Probate

A legal process used to settle an estate's affairs after a person's death, including transferring assets and settling outstanding debts. [7]

WRITE DOWN Whether Mom and Dad have wills, and where they're kept.

Who answers what

Elder law attorney

A lawyer who deals daily with the issues surrounding old age. Estate planning and exploring a person's qualifications for Medicaid are among the things the federal long-term care site says elder law attorneys do. [10]

WRITE DOWN The name of any attorney your parents have used, and what for.

Licensed financial professional

Someone licensed to advise on money or to sell financial products. The Consumer Financial Protection Bureau notes that not all titles and credentials are the same, and that a family can check the status of an adviser's license and the adviser's professional history. [11]

WRITE DOWN The name, title and license of anyone advising Mom or Dad about money.

What this sheet doesn't do

It explains words. It doesn't say which of Mom's assets are counted, how the house or any account is treated where she lives, or what she or Dad may keep. That's for your Medicaid planner and the other professionals who look at her situation. Nothing here is legal, financial or tax advice.

Ready for the next step?

You know what the words mean in general and what to note when you hear them. The planning interview asks about your family's own situation in plain language and gives you a free planning report you can bring to any conversation about paying for care.

Get Your Free Planning Report ›

WHERE THIS COMES FROM

1. Administration for Community Living (LongTermCare information), Glossary
2. Administration for Community Living (LongTermCare information), Medicaid
3. Consumer Financial Protection Bureau, Considering a financial caregiver? Know your options (Managing Someone Else's Money)
4. Consumer Financial Protection Bureau, Leaving your home to children or heirs (Older Americans Housing Guide)
5. Medicaid.gov (Centers for Medicare & Medicaid Services), Spousal Impoverishment
6. National Council on Aging, What Is Medicaid Estate Recovery? And How Does It Work?
7. Justice in Aging, Mitigating the Harmful Effects of Medicaid Estate Recovery: Strategies for State Advocates
8. Medicaid.gov (Centers for Medicare & Medicaid Services), Estate Recovery
9. Administration for Community Living (LongTermCare information), Medicaid Estate Recovery
10. Administration for Community Living (LongTermCare information), Will I Need a Lawyer?
11. Consumer Financial Protection Bureau, Know your financial adviser